



ECON 310: INTERMEDIATE MICROECONOMIC THEORY

Fall 2024

Sep 04, 2022 - Dec 06, 2022

Classes: Monday & Wednesday 10-11:20am; Room: Geoffrey R Weller Library 5-153

INSTRUCTOR: Dr. Karima Fredj

E-MAIL: fredj@unbc.ca

OFFICE HOURS: Fridays 1pm-2pm or by appointments

Important: When sending an email, please include "ECON 310" in subject line. If this is not included, I may not see (and consequently reply to) your email as it is automatically sorted by my email client. Also, emails have to be addressed to Dr. Fredj (myself), and written in a proper and respectful manner for them to be answered.

COURSE DESCRIPTION:

Welcome to Intermediate Microeconomic Theory!

This course is designed to provide a deeper examination of microeconomic models first encountered in Introductory Microeconomics (ECON 100) and to provide students with some appreciation of the nature of the economic issues facing our society and the tools of logical analysis employed by the science of economics. This course represents also a good bridge and a requirement to prepare students planning to take advanced microeconomics Theory (Econ 451). Microeconomics is the study of individual economic units such as consumers and producers and how they interact in the market and determine prices. Microeconomic analysis relies on a small set of enormously powerful analytical tools: constrained optimization analysis, equilibrium analysis, and comparative statics analysis. This course attempts to help you master these tools by presenting their graphical, algebraic and logical mechanics as well as by illustrating their use in many different contexts throughout the course.

PRE-REQUISITES:

ECON 100 and MATH 152 or MATH 100.

REQUIRED MATERIAL:

Hal R. Varian **(HV)**: Intermediate Microeconomics, Ninth Edition. Norton, 2014. (Older versions of the textbook can alternatively be used)

Other suggested textbooks:

Pindyck, R. and Rubinfeld, D. **(P.R)**. *Microeconomics*. Upper Saddle River. NJ: Prentice Hall, 2009.

Besanko D. & R.R Braeutigam **(B.B)**: Microeconomics, Wiley 2010.

Perloff, J.M. : Microeconomics **(PJ)**, Addison Wesley, 2010.

R. Preston McAfee, Introduction to Economic Analysis, available free of charge from www.introecon.com. This is an excellent text suitable for students with a strong mathematical background.

The textbooks are intended to supplement the lectures with examples, more complete explanations of concepts and practice problems. However, the textbook may not cover all of the material covered in class; hence, attendance is extremely important.

EVALUATION:

Students will be evaluated through the semester as follows:

	Weight
Participation	8%
Assignments	17%
Quizzes	10%
Mid-term	30%
Final Exam	35%

Participation is objectively assessed using attendance and active participation in class and online, through students' comments, questions and discussions, as well as occasional participation homework. Students must read the textbook prior to coming to class and come prepared to ask and answer questions.

COURSE OUTLINE:*

1. Consumer Choice and Demand:

- | | | |
|----|--|-------------------------|
| A: | Budget Constraint | (Chapter 2) |
| B: | Preferences | (Chapter 3) |
| C: | Utility and Indifference Curve | (Chapter 4) |
| D: | Consumer Choice and Utility Maximization | (Chapter 5) |
| E: | Demand | (Chapters 6, 8, and 15) |

(P.R: 3-4, B.B: 3-5, PJ: 3-4,)

(Mid-term Examination)

2. Production, Technology and Firm Choice:

- | | | |
|----|---------------------|----------------------|
| A: | Technology | (Chapter 19) |
| B: | Profit Maximization | (Chapter 20) |
| C: | Cost Minimization | (Chapters 21 and 22) |
| D: | Supply | (Chapters 23 and 24) |

(P.R: 6-8, B.B: 6-8, PJ: 6-7)

3. Market organization:

- | | | |
|----|-------------|----------------------|
| A: | Monopoly | (Chapters 25 and 26) |
| B: | Oligopoly | (Chapter 27) |
| C: | Game Theory | (Chapter 28) |

(P.R: 10-12, B.B: 9-13, PJ: 11-13)

ABSENCE FROM EXAM POLICY:

Students unable to write an exam must provide the instructor with documented evidence of illness, family emergency, or sufficient reason related to something entirely beyond the student's control. In case of an emergency, you must give notification before the scheduled time of the examination by calling our office. This should then be followed up with a medical certificate **within 48 hours** of the missed exams. Failure to do one or both of these will result in a failing grade on the examination.

Weight will be shifted to the final exam. Any make-up exams or quizzes will be special and not the regular examination. In such cases, evaluation weights may or may not be changed at the instructor's discretion.

Students are cautioned that if they feel ill prior to writing a test, they should not write but should instead receive medical attention and secure appropriate documentation.

HOW TO STUDY EFFECTIVELY FOR THIS COURSE

These are tips to help you excel in this course.

1-Regular attendance is extremely important to doing well in economics courses. Actually, it has been found in many studies of student performance that those students that attend class on a regular basis do have consistently higher grades in economics. There are many things that you can

learn in class that you will not pick up in the readings and will not understand with another classmate's notes. Take this into consideration and be there as often as possible.

2-This class requires **ACTIVE** studying. You must apply what has been taught to excel in this class. I have often heard from students who take this course that they have studied for a long time and they don't understand why they have failed an exam. Most often these students have attempted to read and memorize their notes. **THIS DOES NOT WORK IN ECONOMICS.** You need to actively be studying if you want to pass and excel in this course. Start your studying by recopying your notes, and then do some exercises **WITHOUT** looking at the answers, and continue to do these exercises and other assigned homework until you can correctly answer them without looking at the answers.

3- Use office hours. Office hours are meant to help you learn and understand better the material we study in class. It is very important to take advantage of them. So if you face any difficulty understanding the course material or doing the textbook problems don't hesitate to come during the office hours or send me an email to set an appointment.

4-Studying with a partner is often very helpful because topics are often emphasized by students in different ways. You can help explain concepts to each other as well as point out things that each other might miss. It is also important to also complement studying with a partner by studying alone. This helps to reinforce the new material or concepts that you have learned with your partner. Try to do this virtually if possible.

5- Do not wait until a couple of days before an exam to study. **THAT IS TOO LATE.** Instead, try and review your notes, and the related problems in your textbook after each class. You'll be much less overwhelmed when studying for an exam if you take a small amount of time after class each day to study.

University Learning Skills Centre

Check your Blackboard course list on <https://learn.unbc.ca> or in the student portal at <https://my.unbc.ca> for a link to the **Learning Commons**. The UNBC virtual learning commons is a "one stop shop" for student supports and collaborative online spaces, including Academic Success Centre tutoring, Student Technology Troubleshooters, the online forms of MACE and Nucleus, other drop-in services like Resume and Career help, as well as links to services such as the Library Research Desk and the Academic Advisors. Also keep an eye on the Learning Commons for links to events and workshops!

*** Reminders:**

1. Topics may be added or deleted from the course outline list provided above
2. Not all material in a given chapter will be covered in class; at the same time, I might introduce you to some recent applications, which are not covered in the textbook. In the exams, you will be responsible for only (and all) topics discussed in class.
3. Examinations and homework exercises covered in class will not be necessarily posted online. If you miss class then it's your responsibility to get the solutions from a classmate.

4. In a situation where a student's grade is in borderline, the grade will be determined by overall participation.